
POSTSCRIPT

Black Monday, 1987

On October 19, 1987, a 508-point one-day drop in the Dow Jones average—the worst such drop in history—wiped out any residual profit that had built up in my wife's account at Drexel Burnham, thus eliminating any discrepancy between my own sorry performance as described herein, and hers.

Who could have suspected that between Friday the 16th and Monday the 19th, the world would be a trillion dollars poorer, or that crowds would collect outside the mutual-funds offices, awaiting news like nervous onlookers to a palace coup? There had been widespread agreement among the knowledgeable that some trouble might occur one or two years ahead, and that the smart money would know when to get out.

On Friday, I paid no particular attention to the market, but at the end of the day, my wife informed me she'd heard on the radio that it had gone down a whopping 100 points. This was especially troublesome as both of us spent the evening with a wealthy friend who'd gotten out of the market a month earlier. Nothing is worse than hearing bad financial news in the million-dollar home of someone who has just gotten wealthier.

It was a nervous weekend, and the phones were abuzz with people reassuring each other that the worst was over.

Monday came and a sixth sense of doom pulled me into the local Thomson McKinnon office, where the elderly spend the day watching the overhead quotron. The market had been open less than an hour and already there was stunning news: the Dow had plummeted another 100 points or so, and some stocks had not even opened. The heavy selling could no longer be accommodated in the normal routine. The retirees, usually talkative, sat transfixed. If